Reg. No									

St. Joseph's College of Arts& Science (Autonomous)

St. Joseph's College Road, Cuddalore – 607001

ACMCA301 - FINANCIAL ACCOUNTING -I

Time: 3 hrs **Max Marks: 75**

SECTION- A (10x2=20)

Answer ALL the questions

1. What is book keeping?
2. What do you mean by trial balance?
3. Give the meaning of the term "Gross profit".
4. State any four causes for the differences between the balances shown by cash book and pass book.
5. Define singly entry.
6. Mention any four limitations of single entry system.
7. List out the objectives of branch accounts.
8. Write short note on "Whole sale branch".
9. What are departmental accounts?
10. How do you allocate the following expenses in departmental accounts: (i) Carriage inward and (ii) Depreciation of fixed assets.

SECTION- B (5x5=25)

Answer any FIVE questions

11. List out the various objectives of accounting.
12. Prepare Trial balance:

Particulars	Rs.	Particulars	Rs.
Opening stock	10,600	Cash at Bank	1,000
Wages	2,200	Debtors	3,000
Carriage	200	Income tax	500
Commission (Dr.)	300	Drawings	700
Purchases	12,000	Returns outward	150
Returns inward	440	Sales	25,200
Trade expenses	580	Discount received	400
Rent	200	Capital	7,000
Plant	2,600	Creditors	830
Repairs to plant	460	Loan (Cr.)	1,400
Cash in hand	200		

13. Prepare a bank reconciliation statement from the following data as on 31-12-2005.
    (a) Balance as per cash book Rs. 12,500
    (b) Cheques issued but not presented for payment Rs. 900

(c) Cheques deposited in bank but not collected Rs. 1,200
(d) Bank paid insurance premium Rs. 500
(e) Direct deposit by a customer Rs. 800
(f) Interest on investment collected by bank Rs. 200
(g) Bank charges Rs.100

14. Find out profit from the following data:
(a) Capital at the beginning of the year Rs. 8,00,000
(b) Drawings during the year Rs. 1,80,000
(c) Capital at the end of the year Rs. 9,00,000
(d) Capital introduced during the year Rs. 50,000

15. The following information relates to Madurai branch:

Particulars	Rs.	Rs.
Stock on 1-1-2004		11,200
Branch debtors on 1-1-2004		6,300
Goods sent to branch		51,000
Cash sent to branch for:		
Rent	1,500	
Salaries	3,000	
Petty cash	500	5,000
Sales at branch:		
Cash	25,000	
Credit	39,000	64,000
Cash received from debtors		41,200
Stock on 31-12-2004		13,600

Prepare Branch account for the year 2004

16. Distinguish between departments and branches.
17. From the following particulars, prepare the departmental trading and profit and loss account for the year ending 31-12-2007.

Particulars	Dept. X (Rs.)	Dept. Y (Rs.)
Stock (1-1-2007)	9,000	8,400
Sales	42,000	36,000
Purchases	27,000	21,600
Direct expenses	5,490	8,520
Postage	360	360
Stock (31-12-2007)	10,800	4,800

Indirect expenses for the entire business were Rs. 3,900 which are to be divided in the proportion of sales of the two departments.

SECTION - C (3x10=30)

Answer any THREE questions

18. Briefly explain the various accounting concepts.

19. From the following trail balance of Ravi, prepare trading and profit and loss account for the year ended December 31st 2003 and a balance sheet as on that date:

Particulars	Rs.	Rs.
Capital	---	40,000
Sales	---	25,000
Purchases	15,000	---
Salaries	2,000	---
Rent	1,500	---
Insurance	300	---
Drawings	5,000	---
Machinery	28,000	---
Bank balance	4,500	---
Cash	2,000	---
Stock 1-1-2003	5,200	---
Debtors	2,500	---
Creditors	---	1,000
	66,000	**66,000**

Adjustments required: (a) Stock on 31-12-2003 Rs. 4,900; (b) Salaries unpaid Rs. 300 (c) Rent paid in advance Rs. 200 and (d) Insurance prepaid Rs. 90.

20. Ramesh keeps his books on single entry basis. Prepare a statement of affairs as on 31-10-2002 and a statement of profit or loss for the period ending 31-10-2002.

Assets & Liabilities	1-11-2001 (Rs)	31-10-2002 (Rs)
Bank balance	(Cr) 500	(Cr) 350
Cash on hand	10	50
Debtors	4,500	3,600
Stock	2,700	2,900
Plant	4,000	4,000
Furniture	1,000	1,000

Ramesh had withdrawn Rs. 2,000 during the year and had introduced fresh capital of Rs. 4,200 on 1-7-2002. A provision of 5% on debtors is necessary. Write off depreciation on plant at 10% and furniture at 15%. Interest on capital is to be allowed at 5%.

21. The Calcutta commercial company invoiced goods to its Jamshedpur Branch at cost. The Head office paid all the branch expenses from its bank except petty cash expenses which were paid by the branch. From the following details relating to the branch, prepare, (a) Branch stock a/c (b) Branch debtor a/c (c) Branch expenses a/c and (d) Branch P&L a/c.

Particulars	Rs.	Particulars	Rs.
Stock (Opening)	21,000	Discount to customers	4,200
Debtors (Opening)	37,800	Bad debts	1,800
Petty cash (Opening)	600	Goods returned by customers to branch	1,500
Goods sent from H.O.	78,000	Salaries and Wages	18,600
Goods returned to H.O.	3,000	Rent & Rates	3,600
Cash sales	52,500	Debtors (Closing)	29,400
Advertisement	2,400	Petty cash (Closing)	300
Cash received from debtors	85,500	Credit sales	85,200
Stock (Closing)	19,500		
Allowances to customers	600		

22. Trading and P&L a/c of Janaki Radio and Gramophone Equipment Co., for the six months ended 31-3-2003 is presented to you in the following form:

Particulars	Rs.	Particulars	Rs.
Purchases:		**Sales:**	
Radios (A)	1,40,700	Radios(A)	1,50,000
Gramophones(B)	90,600	Gramophones(B)	1,00,000
Spare parts(C)	64,400	Spare parts(C)	25,000
Salaries and wages	48,000	**Stock as on 31-3-2003:**	
Rent	10,800	Radios(A)	60,100
Sundry expenses	11,000	Gramophones(B)	20,300
Profit	34,500	Spare parts(C)	44,600
	4,00,000		**4,00,000**

Prepare departmental accounts for each of the three departments A,B and C mentioned above after taking into account the following:

(a) Radios and Gramophones are sold at the show room and spare parts at work shop.
(b) Salaries and wages comprise as follows: Show room ¾ and Work shop ¼. It was decided to allocate the show room salaries and wages in the ratio of 1:2 between the departments A and B.
(c) The work shop rent is Rs. 500 per month. The rent of show room is to be divided equally between the departments A and B.
(d) Sundry expenses are to be allocated on the basis of the turnover of each department.

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